

Options Greeks Simplified

Delta, theta, gamma, and vega explained in plain English with real examples.

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The Greeks are measurements that tell you how an option price will change in response to different factors — stock price movement, time passing, and volatility changes. You do not need to calculate them. You need to understand what they mean for your trade.

Delta — How Much the Option Moves

Delta measures how much your option price changes for every \$1 move in the stock. A delta of 0.50 means if the stock moves \$1, your option moves \$0.50. At-the-money options have a delta of roughly 0.50. Deep in-the-money options approach 1.0 (they move like the stock). Deep out-of-the-money options approach 0.

Theta — Time Decay

Theta is the amount your option loses in value each day from time passing, all else being equal. If theta is -0.05, your option loses \$5 per day (per contract) just from the clock ticking. Time decay accelerates as expiration approaches — this is why buying options with 2 days to expiration is extremely risky.

Gamma — Rate of Change of Delta

Gamma measures how fast delta changes as the stock moves. High gamma means your delta is changing rapidly — this is most pronounced near expiration and at-the-money. High gamma amplifies both your gains and your losses. This is why 0DTE options can double or go to zero in minutes.

Vega — Sensitivity to Volatility

Vega measures how much your option price changes when implied volatility (IV) changes. If vega is 0.10 and IV increases by 1%, your option gains \$10 per contract. Buying options before earnings (when IV is high) and selling after (when IV collapses) is called an IV crush — and it destroys call buyers who were right on direction.

→ Delta: buy options with enough delta to actually participate in the move.

OPTIONS

→ Theta: time is always working against you as a buyer — the move needs to happen.

→ Gamma: high gamma near expiration means fast gains but also fast losses.

→ Vega: do not buy options when IV is extremely high — you are overpaying.

Delta, theta, gamma, and vega explained in plain English with real examples.

→ Never buy options into earnings without understanding IV crush risk.

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→ Slow-moving stocks destroy option value through theta — options need volatility.